

Student activity

Think: In the above illustration, what will be the cash book balance, if the balance as per bank statement is favourable?

Illustration 8

The bank statement of Sudha and Company showed an overdraft of ₹ 10,000 on 31st December, 2017, prepare a bank reconciliation statement.

(a) A cheque deposited on 30th December 2017 for ₹ 15,000 was not credited by the bank.

(b) Interest on term loan ₹ 500 was debited by bank on 31st December, 2017 but not accounted in the books of Sudha and Company.

(c) A cheque issued for ₹ 550 on 24th December, 2017 was paid by the bank. It was recorded as ₹ 505 in the bank column of the cash book.

(d) One outgoing cheque on 27th December, 2017 of ₹ 200 was recorded twice in the cash book.

(e) Bank recorded a cash deposit of ₹ 2,598 as ₹ 2,589.

(f) A sum of ₹ 2,000 deposited in cash deposit machine by a customer of the business on 31st December, 2017 was not recorded in the books of Sudha and Company.

(g) Interest on overdraft of ₹ 600 was not recorded in the books of Sudha and Company.

(h) Two cheques issued on 29th December, 2017 for ₹ 500 and ₹ 700, but only the first cheque was presented for payment before 31st December, 2017.

Solution

Bank reconciliation statement of Sudha and Company as on 31st December, 2017

Particulars	Amount ₹	Amount ₹
Overdraft as per bank statement (debit balance)		10,000
Add:		
Cheque issued recorded twice in cash book	200	
Direct cash deposit not entered in cash book	2,000	
Unpresented cheque	700	2,900
		12,900
Less:		
Cheque deposited but not credited by bank	15,000	
Interest on term loan not entered in cash book	500	
Cheque issued amount entered lesser in cash book (550-505)	45	
Cash deposit recorded lesser in bank statement (2,598-2,589)	9	
Interest on overdraft not entered in cash book	600	16,154
Favourable balance as per cash book*		–3,254

* ***Note:*** Since the balance obtained is negative, it is favourable balance.

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